

WMT Full Analysis — 2026-06-05

Market cap: \$958B · **Sector:** Consumer Defensive · **Earnings:** 2026-08-20 (76d out, LOW risk)

Focus: full-stack signal review with emphasis on impact to the open \$120/\$125 Jun 12 bull call spread (25 contracts, \$0.58 entry debit / \$1,450 total).

Critical context (vs spread position)

Since yesterday's \$120.41 close, WMT has slipped back to **\$119.82** — back *below* the \$120 long strike. Yet the **spread mark has actually risen** to ~\$1.53–1.57/share (vs ~\$1.40 yesterday), implying IV expansion is offsetting the spot move. At \$1.53 mid × 25 × 100, the mark sits ~**\$3,825 (+\$2,375 / +164% on debit)** — slightly *better* than yesterday's estimate, despite the price weakness.

But the trade engine has **downgraded**: yesterday HIGH/BULL_CALL_SPREAD/+5 → today **MEDIUM/LONG_STOCK/+3**. That is the key signal change of the day.

Price / structure

Level	Value	Significance
Spot	\$119.82	Back below long strike, between BE and bail
20-day SMA	\$124.39	Mean-reversion gravity ~+3.8% above
BB upper / lower	\$139.04 / \$109.73	Wide envelope — no extension stress
VWAP (20d)	\$122.97	10 bars below , -4.26% — trend headwind intact
Unfilled gap above	\$124.41–\$130.85	First overhead resistance (gap from 5/21)
Unfilled gap up today	\$116.89–\$119.90	Yesterday's gap — would need to fail this to bail
Gamma wall	\$120	Long strike sits on it — unchanged

VWAP reclaim signal fired *moderate* but price has since fallen back. The hourly higher-low pattern is **not** established — downtrend structure on intraday remains intact.

Momentum

- **MACD:** -3.44 / signal -2.31 / hist **-1.13** — bearish crossover, histogram has **not flipped** (daily-check item #4 still unmet)
- **RSI:** 38.5 — neutral, recovering from oversold

- **Stochastic:** %K 22.3, %D 14.1 — **bullish crossover from oversold** (daily-check item #5 now MET — first of the daily triggers to fire)
- **Candlesticks:** 5/28 dragonfly doji (strong bullish reversal, 5 down-days prior, near lower BB) — still the dominant pattern

Volume / accumulation

- Last volume 0.93× avg — normal
- **OBV trend: falling** — no accumulation yet, confirms downtrend
- Capitulation bar 5/21 (2.87× volume) — bounce setup but no follow-through volume
- Dark pool proxy: no absorption / no two-sided flow

This is the weakest part of the bull case. Smart money is not accumulating in size — the bounce off \$112.73 (6/2 low) has been on declining volume.

Options positioning

- **Gamma wall: \$120** — exactly the long-strike pin (unchanged)
- **Net DAOI: +40,059 sh, sell_on_rally** — MMs net long delta, must sell into rallies (mechanical resistance unchanged)
- **Delta flip: \$180** — way out of reach; no mechanical tailwind
- **P/C ratio: 0.42** — bullish skew
- **Unusual calls: STRONG sweep signal, 15 unusual contracts**
- High-conviction sweeps on Jun 12 expiry: \$122 (vol/OI 1.78), \$124 (vol/OI 2.43)
- Plus moderate at \$121 and \$123 Jun 12
- Plus high-conviction \$121 / \$122 Jun 5 (today)
- Institutional flow **still concentrated in the \$121–\$124 profit zone** of the spread

Avg IV on the calls ≈ 28–30% — IV did expand somewhat, which is what is propping up the spread value as spot pulled back.

Relative strength

Window	WMT	SPY	Excess
1m	-7.7%	+1.75%	-9.4pp
3m	-2.81%	+11.36%	-14.2pp
6m	+5.38%	+9.8%	-4.4pp
12m	+21.63%	+26.73%	-5.1pp

Laggard label. Consumer Defensive sector is *leading* (+57% 12m), but WMT is failing to participate — 1-month -7.7% is the standout problem. Short interest 1.84%, 4.9 DTC — MEDIUM squeeze potential but nothing fires that on its own.

Fundamentals

Composite **5/14** → **solid**. FCF margin +9% (positive), valuation cheap (log EV/Sales 0.33), 12-1 momentum +33.8%. But revenue CAGR only 5.3% (slow) and op margin 4.2% (thin/flat). No earnings risk for 76 days.

Trade engine output

LONG_STOCK · MEDIUM confidence · net +3 (bull 7 / bear 4)
Entry \$119.80 · Target \$139.04 · Stop \$107.54 · R/R 1.57

Drivers: stochastic oversold, dragonfly doji, strong sweep signal, solid fundamentals, sector tailwind.

Warnings: MM sell_on_rally, revenue inflecting negative, EPS decelerating, RS laggard, mixed signals.

Engine no longer recommends a *new* bull call spread structure — confidence and net score both dropped. The existing position should be managed, not added to.

Bull vs bear ledger

Bull	Bear
Strong sweep signal (15 contracts, 4 high-conviction at \$121–\$124 Jun 12)	MM sell_on_rally + gamma wall at \$120
Stochastic bullish cross from oversold (22 > 14)	10 bars below VWAP, OBV falling
Dragonfly doji 5/28, near lower BB	MACD bearish, histogram has not flipped
RSI 38 recovering	No hourly higher-low pattern yet
Solid fundamentals, sector leading	RS laggard (-5.1pp 12m, -9.4pp 1m)
Unfilled gap up today (\$116.89–\$119.90)	Unfilled gap-down resistance at \$124.41–\$130.85
Spread mark continues to rise via IV expansion	Engine downgraded HIGH→MEDIUM, +5→+3

Impact on the WMT \$120/\$125 Jun 12 spread

Where the position stands now:

- Mark ~\$1.53/share × 25 × 100 = ~**\$3,825** (vs \$3,500 yesterday, \$1,450 entry)
- Unrealized ~**+\$2,375 / +164%** on debit
- 5 trading days remaining (today + Mon–Thu next week)

Key changes vs yesterday:

1. **Engine downgrade is the biggest signal change.** Going HIGH→MEDIUM and +5→+3 in 24h, while spot pulled back below the long strike, validates the "take partial profits" call. The engine no longer rates

this as a *fresh spread setup* — that means the risk/reward for the *remaining* contracts has degraded vs yesterday even though the dollar mark is up.

2. Daily checklist scoreboard:

- WMT vs \$120 / \$120.58 / \$125: **below long strike, below BE** — worse than yesterday
- Spread mid risen or fallen: **risen** (IV expansion) — better than yesterday
- 4-sweep institutional positioning at \$122/\$123/\$124: **still active** (now also \$121) — unchanged
- MACD histogram flipped positive: **NO**, still -1.13 — unchanged
- Stochastic %K above 50: **NO** (22), but **bullish cross fired** — first improvement
- Above VWAP \$122.97: **NO**, 10 bars below — unchanged
- Bail trigger (close < \$119): **\$119.82 — within \$0.82 of trigger** — danger zone

3. The asymmetric calculus has gotten worse for the held portion:

- To reach max profit (\$11,050 total / \$5.00 spread): WMT needs +4.3% in 5 days *through* the \$120 gamma wall + MM sell-on-rally + VWAP at \$122.97 + unfilled gap at \$124.41
- To reach \$120.58 BE: just +0.6%
- To hit bail: just -0.7%
- That is roughly a 6:1 ratio of room-to-loss vs room-to-max-profit *from here*

4. **Why the spread mark is up despite spot down:** call IV on the Jun 12 \$120 expanded to ~28.6% — Friday-to-Monday weekend vol + nearing expiry gamma. This is a **good moment to realize** the IV-inflated mark before theta + a flat Monday open compress it.

Recommendation update

Yesterday's call to close 10–15 contracts is *more warranted today, not less*. The dollar mark improved while the underlying signal set degraded — that is the textbook moment to harvest partial profit on a debit spread.

Concrete suggestion:

1. **Close 15 of 25 contracts at the current ~\$1.53 mid** → ~\$2,295 proceeds on that portion (~\$1,425 profit vs \$870 cost basis); locks in ~\$1,400+ of the unrealized gain regardless of the next 5 days.
2. **Hold 10 contracts with the bail trigger tightened to a close below \$119.80** (today's level) rather than \$119 — the structure is leaning bearish and the bulk of profit is already booked.
3. **Re-evaluate Monday at midday:**
 - If WMT > \$120.58 AND MACD histogram flipping → hold all 10 toward \$125
 - If WMT < \$119 AND no new sweep activity → close the rest
 - If sideways \$119.50–\$120.50 → close another 5, let 5 ride into Thu/Fri gamma

Caveats

- News sentiment server returned INSUFFICIENT_DATA for WMT (coverage gap, not "no news") — confirm independently before any large size decision
- DAOI flip strike at \$180 is a data artifact (low far-OTM OI) — do not read mechanical-tailwind signals from it
- IV rank not surfaced, but Jun 12 \$120 IV $\approx 28.6\%$ is on the high end for WMT — short premium has some edge here, which is partly why the *spread* (long premium on the lower strike, short premium on the higher) has gained